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Rules Without Institutions:

Argentina's Search for a Nominal Anchor, 1930–2026

1. Introduction

Argentina is the standard example of a country that reached the front rank of the world economy and then left it. In 1913 its income per head stood near the top ten worldwide, comparable to France and ahead of Italy and Spain.¹ It has since defaulted on its sovereign debt nine times, three of them in the last twenty-five years, and has spent much of the past half-century with inflation in the double or triple digits.

The conventional explanation is fiscal indiscipline, and it is not wrong. But it is incomplete, because it does not explain the shape of the record. Argentina does not simply fail to stabilise; it stabilises repeatedly, often dramatically, and then loses what it gained. Inflation fell from 4,923 percent in 1989 to essentially zero by 1996. It fell again from 211 percent in 2023 to 31.5 percent in 2025. Between those two achievements lies a default, a decade of financial isolation, the largest lending programme in the history of the International Monetary Fund, and a second inflationary spiral. The puzzle is not the absence of stabilisation. It is the absence of durability.

This paper argues that the pattern has a common structure. Each Argentine stabilisation has substituted an external rule (a currency peg, an IMF programme, a foreign creditor's discipline) for the domestic fiscal institutions it never built. The rule works, and works quickly, precisely because it is hard to reverse: it borrows credibility that the underlying political settlement has not earned. But because nothing beneath the rule changes, the rule must eventually absorb pressures it was never designed to bear. When it breaks, the break is read as a failure of the rule rather than of what the rule was standing in for, and the search for a new anchor begins again.

¹Maddison Project Database, 2023 edition, Groningen Growth and Development Centre, University of Groningen.

That argument is developed through five episodes: the long decline from 1930 to the 1989 hyperinflation; convertibility and its collapse; the post-default decade of isolation and statistical manipulation; the 2018 Stand-By Arrangement; and the adjustment undertaken since December 2023. The final sections consider the strongest case against this reading and ask what would have to be true for the pattern to have broken.

2. The Long Decline, 1930–1989

Argentina's reversal did not begin with fiscal profligacy. It began with the Great Depression. The economy built between 1880 and 1929 was an export economy, and when world trade collapsed after 1929 the model lost its market: the terms of trade fell by roughly a third and export earnings with them.² The state responded as most Latin American states did, by turning inward: exchange controls, tariffs, a new central bank in 1935, and the beginnings of import-substituting industrialisation. These were responses to an external shock, not the causes of one.

What followed under Juan Perón after 1946 converted that emergency response into a permanent structure. The railways, telephones, and utilities were nationalised; the state trading agency IAPI taxed agricultural exports to subsidise urban industry and wages; and public employment and social spending expanded rapidly. The distinction matters for the argument here. The Peronist settlement did not merely raise spending. It created a coalition, comprising organised labour, protected industry, and the provinces, whose claims on the treasury were politically enforceable regardless of what the treasury could raise. That is the institutional deficit the rest of this history keeps trying to solve with rules.

The consequence was the stop-go cycle that defined the next three decades. Industrialisation required imported inputs; imports required dollars; dollars came from agricultural exports that policy had deliberately taxed. Growth therefore ran into a balance-of-payments constraint every few years, forcing a devaluation, a contraction, and a redistribution against wages, followed by recovery

²Carlos F. Díaz Alejandro, *Essays on the Economic History of the Argentine Republic* (New Haven: Yale University Press, 1970), 83–94.

and repetition. Inflation became structural rather than episodic. The 1975 *Rodrigazo*, a sudden devaluation and price correction, pushed annual inflation past 300 percent, and it did not return to single digits for sixteen years.

The 1980s completed the collapse. The Volcker shock raised the cost of the dollar debt accumulated under the military government, and after Mexico's 1982 default the region lost access to voluntary lending entirely. Argentina financed its deficits by printing money because it could finance them no other way. Two heterodox stabilisation plans, the Austral in 1985 and the Primavera in 1988, each halted inflation for months and then failed, because neither closed the fiscal gap they were designed to disguise. In 1989 prices rose 4,923 percent, Raúl Alfonsín left office five months early, and the country arrived at the position from which every subsequent stabilisation has begun: a currency nobody would hold, and a state with no remaining way to borrow.

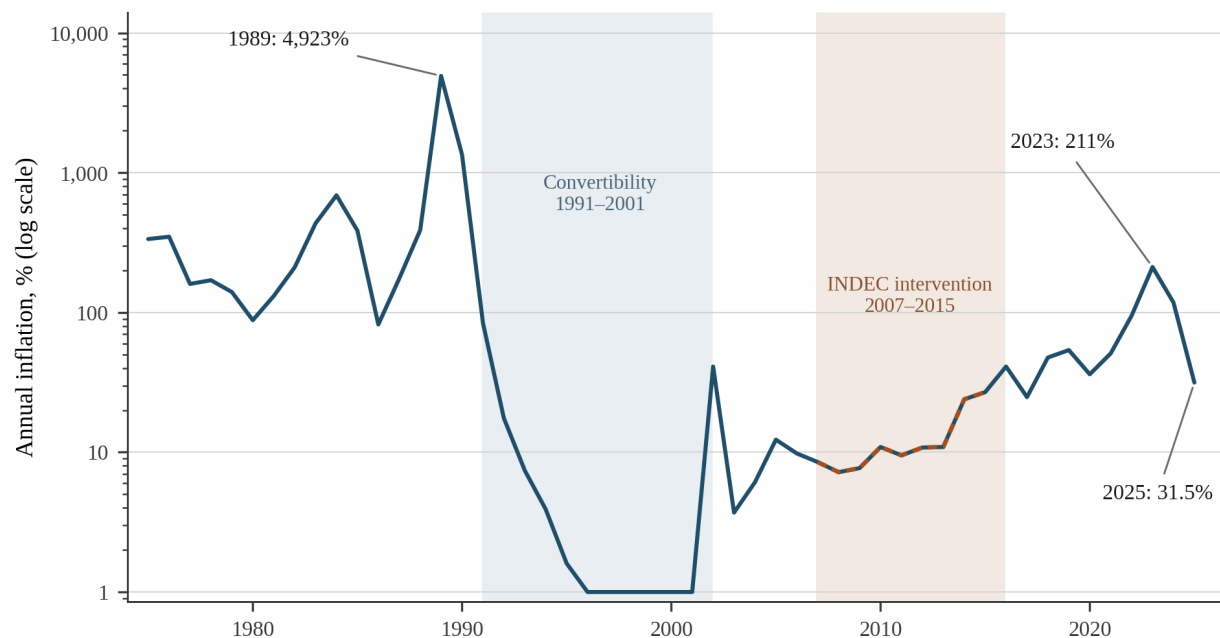


Figure 1. Annual consumer price inflation, 1975–2025. Logarithmic scale. The 1999–2001 deflation is shown clamped at one percent, since a logarithmic axis cannot display negative values. Figures for 2007–2015 are those published by INDEC during the period of political intervention in the agency and are widely held to understate actual inflation; the IMF issued a declaration of censure over Argentine data reporting in February 2013. Sources: INDEC; World Bank, *World Development Indicators*; BCRA historical series.

3. Convertibility: A Rule Instead of an Institution, 1991–1998

The Convertibility Law of April 1991 fixed the peso to the dollar at one to one and required the central bank to back the monetary base with foreign reserves. It was not an exchange-rate policy so much as a constitutional device: the parity was set in legislation, so abandoning it required an act of Congress rather than a decision of the central bank. A 1992 charter reform strengthened that architecture further by granting the central bank formal autonomy and restricting direct monetary financing of the treasury.³

As disinflation, it worked immediately. Monthly inflation fell from roughly 27 percent in February 1991 to 2.8 percent by May, reached single digits annually by mid-1993, and by 1996 was effectively zero.⁴ The surrounding reform programme was equally sweeping: export taxes eliminated, import restrictions lifted, and most state enterprises privatised. Capital returned in volume. Argentina received more than \$100 billion in net capital inflows between 1992 and 1999, and foreign direct investment concentrated in manufacturing as firms re-equipped with newly affordable imported capital goods.⁵

But convertibility was a rule, and it was doing work that fiscal institutions were not. The federal government's accounts improved in the early 1990s partly because privatisation receipts flattered them, and the provinces, which accounted for roughly half of consolidated public spending and had their own banks, continued to borrow against implicit federal guarantees. The hard constraint applied to the currency. It did not apply to the budget.⁶

The first demonstration that the rule transmitted shocks rather than absorbing them came in 1995. Mexico's December 1994 devaluation triggered a run on Argentine deposits: roughly a fifth of the banking system's deposits left in three months, and GDP contracted 2.8 percent over the year. Under a currency board there was no monetary response available, since the money supply is

³Pedro Pou, "Argentina's Structural Reforms of the 1990s," *Finance & Development* 37, no. 1 (March 2000).

⁴Independent Evaluation Office, *The IMF and Argentina*, chap. 2; INDEC consumer price series.

⁵Pou, "Argentina's Structural Reforms of the 1990s."

⁶Michael Mussa, *Argentina and the Fund: From Triumph to Tragedy* (Washington, DC: Institute for International Economics, 2002), 11–26. Mussa, the Fund's chief economist through 2001, identifies the persistent failure to run fiscal surpluses during the growth years as the single decisive error of the convertibility period.

whatever reserves permit, so the entire adjustment fell on output and employment. Unemployment reached 18.4 percent.⁷ The banking system was consolidated and recapitalised afterwards, and the episode was widely read as proof of the regime's resilience. It was equally evidence of its cost.

The Fund read it the first way. In October 1998, at the Annual Meetings in Washington, President Carlos Menem shared the podium with the Managing Director, Michel Camdessus, who described "the experience of Argentina in recent years" as "exemplary," adding that "Argentina has a story to tell the world: a story which is about the importance of fiscal discipline, of structural change, and of monetary policy rigorously maintained."⁸ The praise was for the rule. Within eighteen months the institutions it was substituting for would be exposed, and the Fund's own evaluation office would later conclude that its surveillance during this period had failed to press hard enough on precisely the fiscal and labour-market rigidities the Managing Director was congratulating.

4. The Collapse, 1999–2002

The external environment turned in the second half of 1998. Russia's August default reversed capital flows to emerging markets and widened spreads across the asset class. The transmission mechanism fits the pattern Kaminsky, Reinhart, and Végh identify in fast-moving financial contagion: an abrupt reversal in capital inflows, a leveraged common creditor (here the emerging-market funds that held Russian, Brazilian, and Argentine paper simultaneously and liquidated across the board), and a surprise announcement that markets had not priced.⁹ Argentina's vulnerability was not that it was indebted but that it shared creditors with the countries in trouble. Brazil devalued in January 1999, and since Brazil took roughly a third of Argentine exports, the relative price shift was severe. At the same time the dollar was appreciating against most currencies, and the peso was contractually obliged to follow it. Argentina thus faced a competitiveness shock with no exchange-rate instrument,

⁷Independent Evaluation Office, *The IMF and Argentina*, chap. 2; World Bank, *World Development Indicators*.

⁸Independent Evaluation Office of the International Monetary Fund, *The IMF and Argentina, 1991–2001* (Washington, DC: International Monetary Fund, 2004), chap. 1.

⁹Graciela L. Kaminsky, Carmen M. Reinhart, and Carlos A. Végh, "The Unholy Trinity of Financial Contagion," *Journal of Economic Perspectives* 17, no. 4 (Fall 2003): 51–74. It is worth noting that high external debt and commodity dependence, sometimes cited as contagion criteria, are not part of this framework; the mechanism is the common creditor, not the borrower's balance sheet.

and the only remaining adjustment channel was domestic deflation. Real GDP fell more than 3 percent in the second half of 1998 and about 3.5 percent across 1999.¹⁰ The recession did not end until 2003.

It is at this point that the standard account of the crisis is usually mis-stated. Argentina's public debt reached 62.2 percent of GDP in 2001, a figure that is unremarkable by international standards and lower than that of several solvent European economies at the time.¹¹ The level was not the problem. The composition was. Almost all of the debt was denominated in dollars while the tax base earned pesos, and Argentina's exports amounted to barely 10 percent of GDP. Measured against the dollars the economy actually generated, the debt was roughly five times annual export earnings, an extraordinary ratio and one entirely invisible in the debt-to-GDP figure. A closed economy with dollar debt is solvent only so long as it can keep borrowing dollars. When the sudden stop arrived, the arithmetic resolved itself.

The government's responses bought time at rising cost. The June 2001 debt exchange known as the *megacanje* swapped roughly \$30 billion of bonds for longer maturities in return for higher coupons and substantial fees. Creditors participated to preserve the option value of eventual repayment; the exchange extended the maturity profile while raising the total debt-service burden, and it did not restore confidence, because it addressed neither the fiscal gap nor the overvaluation. On 1 December 2001 the government imposed the *corralito*, capping bank withdrawals at 250 pesos per week. On 5 December the IMF withheld a \$1.24 billion disbursement.¹² The two events together removed the last reasons to hold either pesos or Argentine bank deposits.

What followed was political. Riots on 19 and 20 December left more than two dozen people dead; Fernando de la Rúa resigned and left the Casa Rosada by helicopter; Argentina had five presidents in two weeks. The default was declared in late December, and convertibility was repealed in January 2002. Of \$194.6 billion in total public debt, Argentina ceased payment on \$81.8 billion

¹⁰Federal Reserve Bank of San Francisco, "Learning from Argentina's Crisis," *FRBSF Economic Letter*, no. 2002-31 (18 October 2002).

¹¹J. F. Hornbeck, *Argentina's Sovereign Debt Restructuring*, CRS Report RL32637 (Washington, DC: Congressional Research Service, 2004), 3.

¹²Paul Blustein, *And the Money Kept Rolling In (and Out)* (New York: PublicAffairs, 2005), 174–96.

in bonds at face value, a figure that reaches \$103.2 billion once past-due interest is included.¹³ Deposits were forcibly converted to pesos at rates that differed from those applied to dollar loans, destroying savings and a good deal of the legal certainty that had underpinned the financial system. GDP fell 10.9 percent in 2002 and poverty reached 57.5 percent.¹⁴

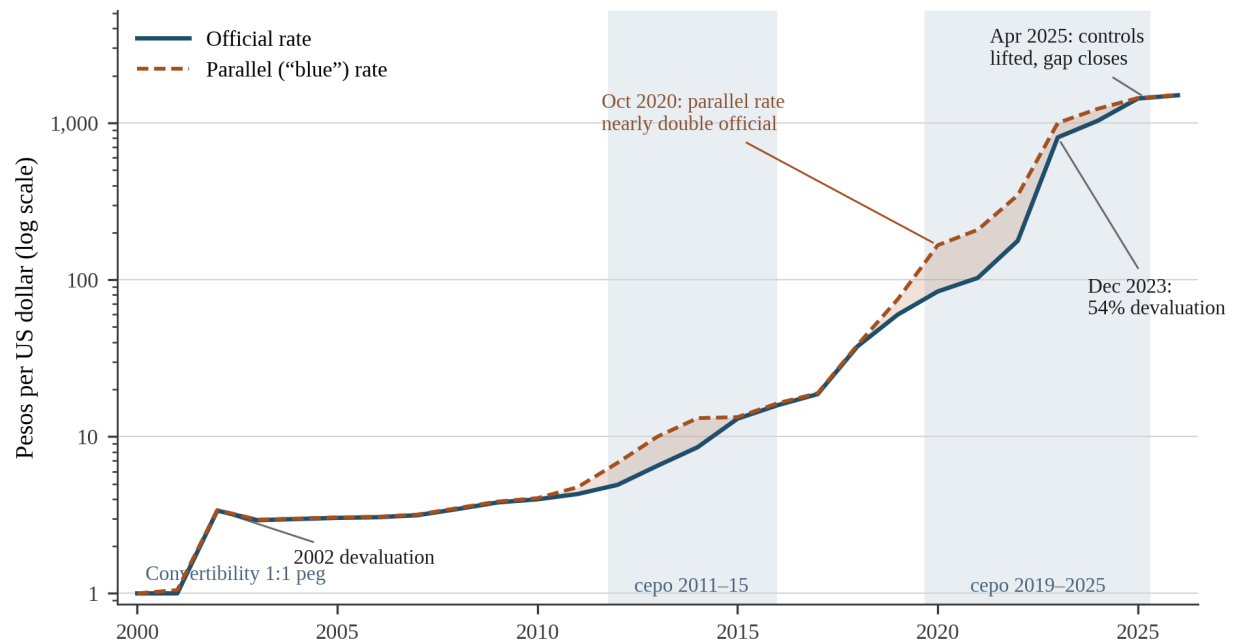


Figure 2. Pesos per US dollar, official and parallel (“blue”) rates, year-end values, 2000–2026. Logarithmic scale: on this axis a constant rate of depreciation appears as a straight line, so the steepening after 2018 represents genuine acceleration rather than an artefact of scaling. Shaded periods mark the two episodes of exchange controls (*cepo cambiario*). The gap between the two series is the clearest available measure of how far the official rate had departed from the price at which Argentines could actually obtain dollars. Sources: BCRA; FRED series ARGCCUSMA02STQ; parallel-rate quotations as compiled by *Ámbito Financiero*. Parallel-rate values are market quotations and should be treated as approximate.

5. Default, Isolation, and the Slow Return of the Deficit, 2003–2015

The float that followed the collapse was, on the evidence, the right decision. A competitive real exchange rate, a global commodity boom, and enormous spare capacity produced average growth near 8 percent between 2003 and 2008. This was the moment at which the fiscal institution could

¹³Hornbeck, *Argentina’s Sovereign Debt Restructuring*, 4. The frequently cited figure of \$132 billion does not correspond to any consistently defined base and should be avoided.

¹⁴World Bank, *World Development Indicators*; INDEC, *Encuesta Permanente de Hogares*, October 2002.

have been built, and it was not.

Argentina restructured in two rounds. The 2005 exchange offered a haircut of roughly 73 percent in present-value terms, among the harshest in modern sovereign restructuring, and drew 76 percent participation. A 2010 reopening brought the total to 91.3 percent, leaving approximately \$11.2 billion in holdout claims.¹⁵ Those holdouts, led by NML Capital, then pursued Argentina through the U.S. courts, and in 2012 Judge Thomas Griesa interpreted the bonds' *pari passu* clause to require rateable payment: Argentina could not pay its restructured creditors without simultaneously paying the holdouts in full. When the Supreme Court declined to hear the appeal in June 2014, Argentina, able to pay but legally barred from doing so, entered technical default. The dispute was settled only in 2016, for \$4.65 billion, after which Argentina returned to international markets with a \$16.5 billion bond issue.¹⁶

The significance of this sequence is that it kept Argentina out of voluntary international capital markets for fifteen years. A government that cannot borrow abroad and will not raise sufficient revenue at home has one remaining option, and after the commodity boom faded around 2011 the deficit was again financed by the central bank.

The institutional decay of the period was not only fiscal. From 2007 the government intervened directly in INDEC, the national statistics agency, replacing technical staff and publishing inflation figures that private estimates put at less than half the true rate. In February 2013 the IMF issued a declaration of censure against Argentina over the quality of its inflation and GDP data, the first such declaration in the Fund's history.¹⁷ This is the clearest single illustration of the paper's thesis. Faced with an inflation it would not address, the government did not change the policy; it changed the measurement. The dashed segment in Figure 1 marks the affected years.

The same substitution occurred in the exchange market. In October 2011 the government

¹⁵J. F. Hornbeck, *Argentina's Defaulted Sovereign Debt: Dealing with the "Holdouts,"* CRS Report R41029 (Washington, DC: Congressional Research Service, 2010), 6–9.

¹⁶Anna Gelpern, "The Rubble of Argentina's Debt Settlement," Peterson Institute for International Economics, *Realtime Economic Issues Watch*, 9 March 2016.

¹⁷International Monetary Fund, "Statement by the IMF Executive Board on Argentina," Press Release No. 13/33, 1 February 2013.

imposed the *cepo cambiario*, restricting legal dollar purchases. A parallel market immediately emerged, and the gap between the official and parallel rates became the market's running estimate of how overvalued the official rate was and, by extension, of how little the official framework was believed. Figure 2 shows the wedge opening in 2011, closing when controls were lifted in December 2015, and reopening far wider after 2019. Controls are the purest form of the pattern: not a rule and not an institution, but a prohibition on observing the consequences of having neither.

6. The Largest Programme in IMF History, 2018–2020

Mauricio Macri's government lifted the *cepo* within days of taking office in December 2015, settled with the holdouts, and returned to the markets. Its strategy, described as gradualism, was to finance a slowly declining deficit by borrowing abroad rather than by printing money, which is to say, to substitute an external creditor for the fiscal institution once again. It worked while global conditions were benign. In April 2018 they stopped being benign: the Federal Reserve was tightening, a severe drought cut agricultural export earnings, and the peso came under sustained attack.

In June 2018 the Fund approved a \$50 billion Stand-By Arrangement, augmented in October to \$57 billion, or 1,227 percent of Argentina's quota, and the largest programme in the institution's history. It did not work. Inflation accelerated, the peso continued to fall, and in September 2019 Macri, the president who had abolished the *cepo*, reimposed exchange controls. The arrangement was cancelled on 24 July 2020, with only four of twelve scheduled reviews completed.

The Fund's own ex-post evaluation, published in December 2021, is unusually direct. It concluded that the programme "did not fulfil the objectives of restoring confidence in fiscal and external viability while fostering economic growth," that its strategy and conditionality "was not sufficiently robust to address Argentina's deep-seated structural problems," and that the emphasis on government ownership had contributed to overly optimistic forecasts. Most tellingly, it found that the programme lacked two measures that might have been necessary for success, namely a debt restructuring and capital-flow management, because the Argentine authorities rejected both.¹⁸ A

¹⁸International Monetary Fund, *Argentina: Ex-Post Evaluation of Exceptional Access under the 2018 Stand-By*

programme that omits the measures its own designers believe are required is not a stabilisation. It is financing.

Alberto Fernández's government restructured \$65 billion of private debt in September 2020 on favourable terms, then spent the following three years demonstrating the point again. The *cepo* was tightened, the parallel gap reached nearly two to one in October 2020, and inflation moved from 36 percent in 2020 to 51 percent in 2021, 95 percent in 2022, and 211 percent in 2023, the highest in thirty-two years.¹⁹

7. The Milei Adjustment, 2023–2026

Javier Milei took office on 10 December 2023. The inherited position is worth stating precisely, because it is routinely misdescribed. Gross international reserves stood at \$21.2 billion. But gross reserves include assets that are encumbered or offset by foreign-currency liabilities: in this case \$18.3 billion in swap obligations to the People's Bank of China, \$2.8 billion in BIS credit, and \$9.4 billion in reserve requirements against foreign-currency deposits. On the measure that matters under an IMF programme, net international reserves, Argentina's position immediately before the devaluation was *negative* \$11.2 billion.²⁰

This distinction is not a technicality. Measured against 2023 merchandise imports of roughly \$73.7 billion, gross reserves of \$21.2 billion would suggest about 3.4 months of import cover, a thin but not catastrophic buffer. The true figure was zero or less. The central bank had no capacity whatever to defend the currency, and the December devaluation was therefore not a policy choice among alternatives but the recognition of an arithmetic that had already resolved itself.

On 12 December the official rate was devalued 54 percent, from roughly 366 to 800 pesos per dollar, alongside subsidy cuts and a freeze on public works. Monthly inflation peaked at 25.5

Arrangement, IMF Country Report No. 21/279 (Washington, DC: IMF, December 2021).

¹⁹“Argentina Clinches Deal with Creditors to Restructure \$65 Billion Debt,” CNBC, 4 August 2020; INDEC consumer price series, 2020–2023.

²⁰International Monetary Fund, *Argentina: Seventh Review under the Extended Arrangement*, IMF Country Report No. 24/167 (Washington, DC: IMF, June 2024), 6.

percent that month, and annual inflation peaked just under 290 percent in April 2024.²¹ What distinguishes this episode from its predecessors, however, is the order in which things were done. The fiscal correction came first, and it was not deferred. Argentina recorded a primary surplus of 1.8 percent of GDP in 2024 and 1.4 percent in 2025, with overall financial surpluses of 0.3 and 0.2 percent respectively, the first two consecutive years of cash-basis financial surplus since 2008.²²

The rest followed from that anchor. Annual inflation fell to 117.8 percent in 2024 and 31.5 percent in 2025, the lowest in eight years, with monthly readings around 2 percent by late 2025. GDP contracted 1.7 percent in 2024 and grew roughly 4.6 percent in 2025.²³ In April 2025 the Fund approved a 48-month, \$20 billion Extended Fund Facility with \$12 billion disbursed immediately, and Argentina lifted the *cepo* for individuals, replacing it with a band between 1,000 and 1,400 pesos per dollar adjusted 1 percent monthly. The parallel gap closed, and the two series in Figure 2 converge for the first time since 2019.²⁴

The distributional path was severe and should not be elided. Poverty rose from 41.7 percent in the second half of 2023 to 52.9 percent in the first half of 2024 as the devaluation passed through to prices before wages recovered. It then fell to 38.1 percent, 31.6 percent, and 28.2 percent in the successive half-years to the end of 2025, the lowest reading since 2018. The Social Debt Observatory at the Universidad Católica Argentina has cautioned that a substantial share of the recorded decline may reflect methodological effects rather than improvement in living standards, and that caution is warranted.²⁵

Two features of the past two years qualify the achievement considerably. The first is that external support has again substituted for domestic credibility. When the peso came under pressure at the band ceiling before the October 2025 midterm elections, the United States Treasury established a \$20 billion swap facility, of which roughly \$2.5 billion was deployed directly in the Buenos

²¹“Argentina’s Milei Devalues Peso by 54% in First Batch of Shock Measures,” Bloomberg, 12 December 2023; INDEC consumer price series.

²²“Argentina Posted Fiscal Surplus of 1.4% of GDP in 2025,” *Buenos Aires Herald*, 22 January 2026.

²³World Bank, “Argentina Overview”; BBVA Research, “Argentina: The 2025 Inflation Was the Lowest in Eight Years,” January 2026.

²⁴“Argentina Announces End of Currency Controls and Introduces Exchange Rate Band,” MercoPress, 11 April 2025.

²⁵“Poverty Drops to 28.2%, the Lowest in Seven Years,” *Buenos Aires Herald*, 31 March 2026.

Aires foreign-exchange market. President Trump publicly linked its continuation to the electoral performance of Milei's party. Argentina repaid the facility by January 2026, and the governing coalition won the midterms with 40.8 percent, the first time a ruling party had won an Argentine midterm since 2017.²⁶ But a stabilisation that required a \$20 billion Fund programme and a \$20 billion bilateral swap within eighteen months has not yet demonstrated that it can stand on its own.

The second is that the exchange-rate framework is once again a rule carrying weight that institutions have not yet taken up. On 2 January 2026 the band regime was modified so that its limits widen in line with *lagged* inflation rather than a fixed schedule. This removes the exogenous anchor: whatever inflation the economy produces in one month is accommodated by depreciation in the next, which is a mechanism for entrenching inertia rather than breaking it.²⁷

The market's verdict has nonetheless improved markedly. Country risk fell to 444 basis points in June 2026, the lowest since May 2018; Fitch and Standard & Poor's both raised Argentina to B– during 2026, and Moody's to B3 in July. The central bank met its full-year \$10 billion dollar-purchase target by June, and gross reserves reached a seven-year high of \$50.7 billion in August 2026, though part of that increase reflected gold revaluation rather than foreign-currency inflows, and the central bank still does not publish a net figure.²⁸ On the measure that failed in 2001 and again in 2023, Argentina remains unverifiable.

8. The Case Against This Reading

The argument advanced here is open to a serious objection, and the objection deserves its strongest form.

On the heterodox account, the emphasis on domestic institutions misplaces the responsibility. The IMF endorsed convertibility, praised it in 1998, and lent into it through 2001; it then designed a

²⁶Congressional Research Service, *U.S. Financial Support to Argentina*, CRS Report R48780 (30 December 2025); "Argentina 2025 Midterms," *Buenos Aires Herald*, 27 October 2025.

²⁷Peterson Institute for International Economics, "Argentina's Fragile Monetary Framework Risks Renewed Volatility," *Realtime Economics*, 2026.

²⁸"Argentine Country Risk Drops below 450 Points," *Buenos Aires Herald*, 11 June 2026; Moody's Ratings, "Moody's Ratings Upgrades Argentina's Ratings to B3, Outlook Positive," 21 July 2026; BCRA, daily international reserves series.

2018 programme that its own evaluators judged to have omitted the measures required for success. On this view the external anchor was not a substitute Argentina reached for but a discipline it was offered and pressured to accept, and the recurring collapses are as much failures of external policy advice as of domestic politics. The distributional record supports a related point: adjustment in Argentina reliably produces poverty rates above 50 percent within a year, as it did in 2002 and again in 2024. A stabilisation that imposes those costs is not politically sustainable through a full electoral cycle, so the reversals that follow are not evidence of institutional weakness but a rational response by voters to a programme whose burden falls on them. On this reading, “building institutions” is a euphemism for settling a distributional conflict in favour of creditors.

Two of these points are simply correct. The Fund’s conduct in both episodes is indefensible on its own published evidence, and the social cost of Argentine adjustment is real, large, and borne by people with the least capacity to absorb it. Any account that treats the 52.9 percent poverty rate of early 2024 as an incidental detail is not a serious account.

But the objection does not displace the explanation; it describes its cost. The heterodox case explains why adjustment is painful and why it is resisted. It does not explain why Argentina, alone among comparable economies, requires one every decade. Brazil, Chile, Colombia, Peru, and Uruguay faced the same Volcker shock, the same 1980s debt crisis, the same commodity cycle, the same pandemic, and the same Federal Reserve tightening in 2018. None of them defaulted three times in twenty-five years or ran triple-digit inflation. The external environment is common; the outcome is not. What differs is the domestic capacity to run a budget that does not require either an external creditor or a printing press, and that is an institutional variable, whatever one concludes about how the burden of building it should be shared.

9. Conclusion

Argentina’s crises have not recurred because its governments failed to stabilise. They have recurred because each stabilisation borrowed an anchor rather than building one. Convertibility borrowed the credibility of the dollar; the post-2003 governments borrowed the commodity boom and then

borrowed statistical silence; Macri borrowed from international bond markets and then from the Fund; and the Fund lent \$57 billion into a programme it knew was missing its own preconditions. In every case the borrowed anchor held until the external conditions that made it affordable changed, and in every case its failure was read as a reason to try a different rule.

The adjustment underway since December 2023 is the first to reverse that order. The fiscal surplus came before the exchange-rate regime rather than after it, and it has now been sustained through two full years, a deep recession, and a national election. That is a genuine departure, and the disinflation, the recovery in output, the closure of the parallel gap, and the compression in sovereign spreads all follow from it.

Whether the pattern has actually broken is not yet answerable, and three tests remain. The surplus has not survived a commodity downturn or a presidential election; the 2027 vote is the first real test of whether fiscal discipline has become an institution or remains one government's policy. Net reserves are still negative or unpublished, and the accumulation achieved so far has depended on Fund disbursements and a bilateral swap rather than on a sustained current-account surplus. And the exchange-rate framework adopted in January 2026 indexes to its own past inflation, which is a weaker anchor than the one it replaced.

The honest assessment is therefore narrower than either its advocates or its critics allow. By mid-2026 Argentina is in better condition than at any comparable point in the four previous episodes examined here, and for the first time the improvement rests on a domestic fiscal correction rather than an external rule. That is a necessary condition for breaking the cycle. Nothing in the record of the last ninety years suggests it is a sufficient one.

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